

THE POINT

THE NEXT CHALLENGE DEPOSITS, NOT BAD LOANS

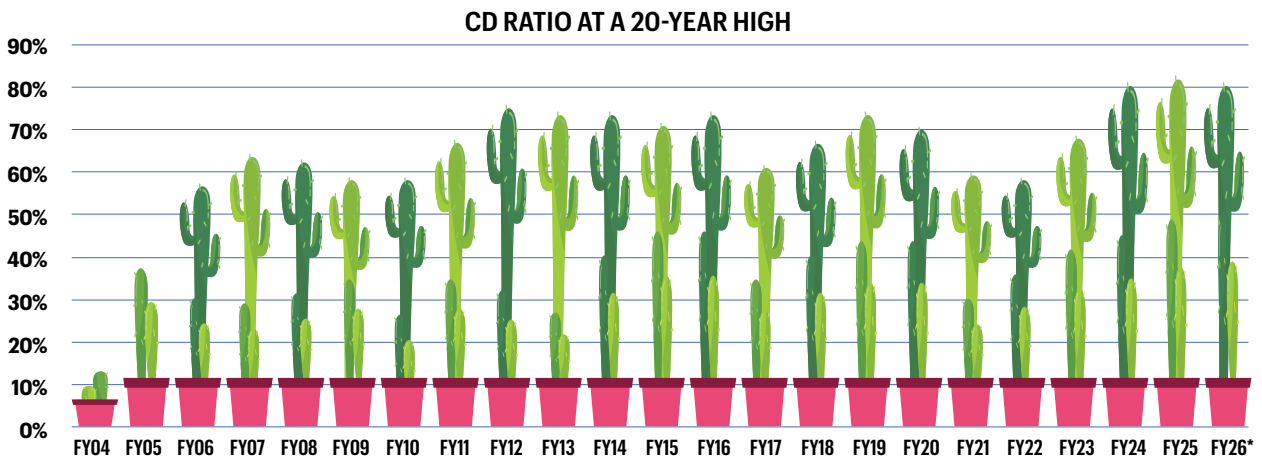
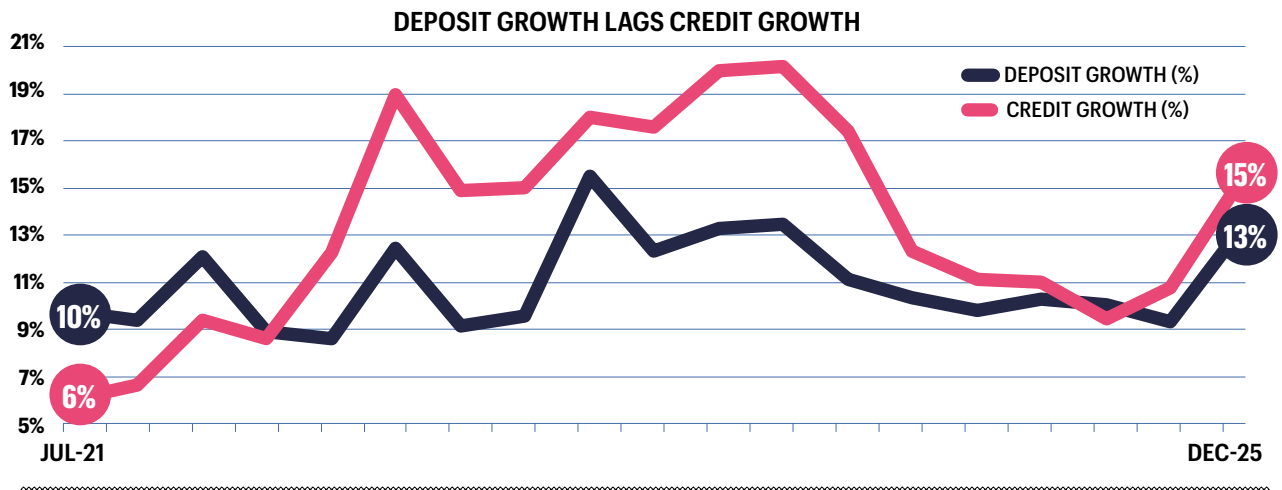
For the longest time, if you asked any banker what kept them up at night, the answer was always the same—bad loans. Cut to 2026, the balance sheets are cleaner than ever, and the crisis isn't about the money going out and not coming back, but about the money that's refusing to come in—deposits. And it's a bigger problem than you might think. Let's dive in:

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CREDIT-DEPOSIT MISMATCH

Everyone wants a loan—for cars, homes, or businesses. But banks need deposits to match credit demand. The Credit-Deposit (CD) ratio is now at a 20-year high of 82%. So, for every ₹100, banks have already lent out ₹82. After the mandatory reserves they keep with the RBI, there's very little spare cash left behind



* FY26 DATA TILL NOV 2025; **SOURCE** CMIE ECONOMIC OUTLOOK